

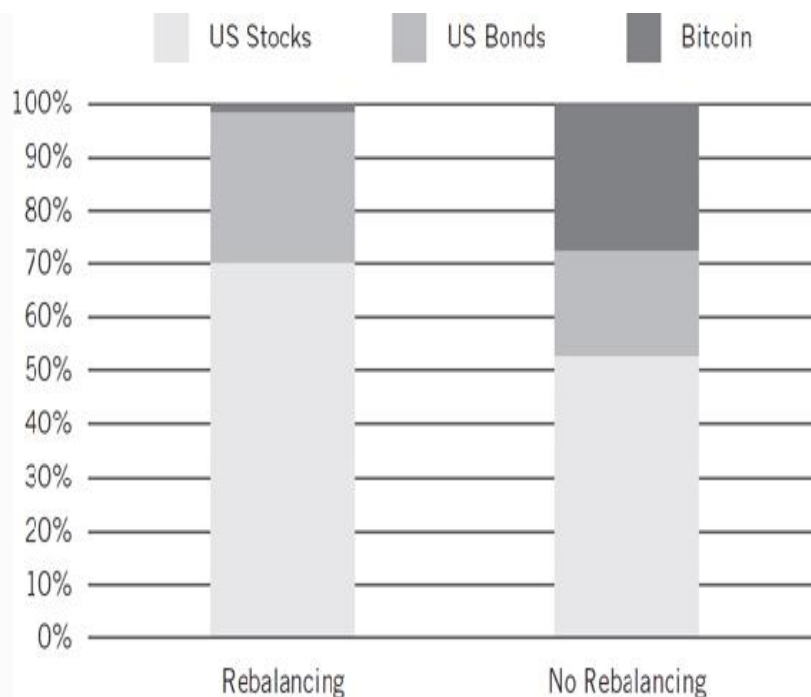


Figure 7.20 ■ The effects of rebalancing versus not rebalancing a portfolio
Data sourced from Bloomberg and CoinDesk

What if the innovative investor had deployed 1 percent of his or her equity capital into bitcoin at the start of 2013, peak of 2013, and start of 2015, done quarterly rebalancing, and held until our designated end date of January 3, 2017? Interestingly, while a 1 percent investment in any asset might seem insignificant, when done in bitcoin the results were definitive.

At the start of 2013, bitcoin was around \$10 a coin and still had a tumultuous 2013 and 2014 in front of it. As a result, it's not surprising that there was an increase in both the absolute returns of the portfolio and the volatility. As can be seen in [Figure 7.21](#), compound annual returns proved superior with a 1 percent allocation to bitcoin and volatility was 4 percent higher. In this case the volatility was worth it, because the